Why the complement works:

If you receive 30% off, you pay the remaining 70%. Multiplying by 0.70 gives you the net price in one step, rather than calculating the discount amount first and then subtracting it. Both approaches give the same answer — the complement method is faster.

Part 2: Chain Discounts

Sometimes a supplier offers more than one trade discount on the same item. For example, a standard trade discount might be 20%, with an additional 10% for large orders and another 5% for preferred accounts. When multiple discounts apply, they are called **chain discounts** and written as "20/10/5."

The critical rule: **each discount applies to the result of the previous discount**, not to the original list price. This means you cannot simply add the rates together. 20/10/5 is not the same as a single 35% discount.

Chain Discount Formula:

```
Net Price = List Price × (1–d1) × (1–d2) × (1–d3)
```

Worked Example — Surfboard Fins:

Tidal Goods orders surfboard fins with a list price of $64.00 per set. The supplier offers a 20/10/5 chain discount.

- Step 1: $64.00 × (1 – 0.20) = $64.00 × 0.80 = $51.20
- Step 2: $51.20 × (1 – 0.10) = $51.20 × 0.90 = $46.08
- Step 3: $46.08 × (1 – 0.05) = $46.08 × 0.95 = **$43.78**

Common Mistake — Adding Rates:

Adding 20 + 10 + 5 = 35% would give $64 × 0.65 = $41.60 — a different (lower) answer. The chain method gives $43.78. These are not equal because each discount is applied to an already-reduced base, not the original list price.

Part 3: Cash Discounts and Payment Terms

While trade discounts reduce the price of goods, **cash discounts** reward buyers who pay their invoices early. Suppliers offer cash discounts to improve their own cash flow — getting paid sooner is